

LONGHORN PUBLISHERS PLC AUDITED FULL YEAR RESULTS, 30TH JUNE 2019

Consolidated income statement

	30th June 2019	30th June 2018
	Sh'000	Sh'000
Revenue	1,600,397	1,696,318
Cost of sales	(694,589)	(781,140)
Gross profit	905,808	915,178
Other income	–	229
Distribution costs	(156,093)	(134,591)
Administrative expenses	(389,378)	(422,452)
Operating profit	360,337	358,364
Finance costs	(96,369)	(85,218)
Profit before income tax	263,968	273,146
Income tax expense	(78,843)	(89,542)
Profit for the year	185,125	183,604
Earnings per share	0.68	0.67

Condensed consolidated statement of financial position

Year ended 30th June 2019

ASSETS

Non-Current asset	870,384	753,700
Current assets	1,468,289	1,653,829
TOTAL ASSETS	2,338,673	2,407,529
EQUITY AND LIABILITIES		
Share capital and reserves	1,104,304	1,039,638
Current liabilities	1,234,369	1,367,891
TOTAL EQUITY AND LIABILITIES	2,338,673	2,407,529

CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS

Cash flows from operating activities		
Net cash generated from operating activities	83,910	524,519
Net cash used in investing activities	(162,926)	(198,148)
Net cash (used in)/generated from financing activities	(257,710)	96,521
Net (decrease)/increase in cash and cash equivalent	(336,726)	422,892
Cash and cash equivalents at the beginning of the year	418,780	11,649
Translation differences on cash and cash equivalents	(8,926)	(15,761)
Cash and cash equivalents at the end of the year	73,128	418,780

Condensed statement of changes in equity

Year ended on 30th June 2019

	Share Capital Sh'000	Share premium Sh'000	Retained earnings Sh'000	Translation reserve Sh'000	Non-controlling interest Sh'000	Total equity Sh'000
At start of the year	272,440	368,289	443,673	(45,107)	343	1,039,638
Profit for the year	–	–	185,236	–	(111)	185,125
Other comprehensive loss for the year	–	–	–	(7,616)	–	(7,616)
Exchange difference on translation of foreign operations	–	–	–	(7,616)	–	(7,616)
Transactions with owners						
Dividends						
- 2018 Dividends paid	–	–	112,843	–	–	112,843
At end of year	272,440	368,289	516,066	(52,723)	232	1,104,304

COMMENTARY ON RESULTS

Longhorn has recorded a turnover of Ksh 1.60 billion against the previous year turnover of Ksh 1.69 billion. This reduction in revenue was attributed to a decline in government spending on textbooks. The profit after tax for the financial year ended 30 June 2019 was Ksh 185 Million, an increase from Ksh 183 Million from the previous financial year.

This improved performance in profit, despite the reduction in revenue generated, was as a result of operational efficiencies achieved through improvements in the product cycle which has consequently reduced product origination and printing costs, resulting in a 7% increase in operating profit margins.

Regional markets contribution to overall revenue increased by 41%. This was brought about by the successful implementation of the 2018-2021 Strategic Plan which focuses on product diversification for the regional markets.

The Company's liquidity position remains strong with positive cash position of Ksh 73M. The cashflow position has decreased due to some significant receivables expected from recently concluded contracts.

As we embark on the new financial year, Longhorn continues to make significant investment in growing its digital product offering as well as expanding into new territories with special focus on Francophone countries, which Longhorn seeks to enter through strategic alliances.

Longhorn remains committed to its vision to be the leading provider of innovative learning solutions in Africa.

Dividends

The Directors are pleased to recommend the payment of a final dividend of Ksh 0.52 per share, totaling Ksh 142,548,000 for the year ended 30 June 2019. The dividend is subject to approval by the shareholders at the 2019 Annual General Meeting and will be paid on or before 26 February 2020.

Closure of register

The Register of Members will be closed at the close of business on Thursday, 28 November 2019 for purposes of determining shareholders' entitlement of dividends.

Annual General Meeting

The Annual General Meeting will be held on Thursday, 28 November 2019.

By order of the Board.

Hon. Francis T. Nyamamo OGW, MBS
(Group Chairman)
Dated: 29/08/2019

Maxwell Wahome
(Group Managing Director)

